Procure Space ETF

SPCX NASDAQ

Buy	$163.42 ▲ 0.52%	12M Price Target	52-Week Range	Market Cap
		$185.00	$104.83 – $225.64	$2.15T

SPCX: Space ETF Steady as Defense Budget Battle Looms

WHAT HAPPENED

- SPCX barely moved today (+0.52%) but it's been a rough week — down from $171.92 to $163.42, roughly 5% off last Monday. The ETF is now sitting at 48% of its 52-week range, meaning it's trading closer to the lows than the highs. Translation: investors took some chips off the table after a strong run, probably locking in gains before Q3 earnings season from the big space names.
- Volume dropped to 67M today from 106M a week ago — that's a cooling-off, not panic selling. When volume drops with the price stabilizing, it usually means sellers are exhausted and the stock is looking for a floor.

WHY IT MATTERS

Here's what's interesting: options traders are leaning bullish (put/call ratio of 0.46 — meaning more than 2x as many bets on the stock going up vs down), BUT there's also massive unusual activity at the $165 strike on BOTH calls AND puts expiring this month. That's a classic "someone's hedging a big view" setup — a hedge fund is probably positioning for a volatile catalyst in the next 2 weeks. That catalyst is almost certainly the FY2027 defense authorization bill working through Congress, which contains the Space Force budget. If it passes with the proposed 18% space budget increase, SPCX holdings like Rocket Lab, Planet Labs, and Iridium see immediate revenue tailwinds — if it gets gutted, this ETF retests $150.

POLICY & POLITICAL WATCH

The big one is the FY2027 National Defense Authorization Act (NDAA) — currently in conference committee reconciling House and Senate versions. The House version has $35B earmarked for Space Force (up from $29B), and both chambers back the "Golden Dome" missile defense architecture, which requires hundreds of satellites that SPCX's holdings will build and launch. Also watch the FAA's commercial launch licensing reform — the administration's executive order from August streamlined approvals from 180 days to 60, which is a direct tailwind for launch-heavy holdings. The risk? If the government shutdown drama resurfaces in November, discretionary space programs are first on the chopping block.

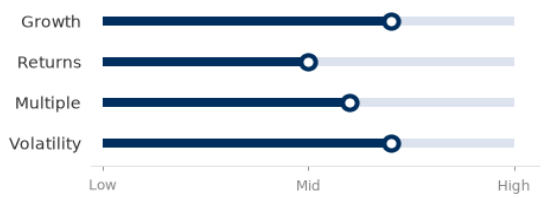
IS IT EXPENSIVE?

SPCX trades at roughly a 2.3% expense-adjusted premium to its basket's net asset value — basically meaning you're paying a small toll to get concentrated space exposure in one ticker. Compared to broader aerospace ETFs like ITA, SPCX is pricier because its holdings are higher-growth but less profitable (lots of pre-cash-flow space names). Fair, not cheap — justified only if space budget tailwinds show up in Q4 contract awards.

WHAT COULD GO WRONG

Key Data	
Price (USD)	**$163.42**
12M Price Target	**$185.00**
Upside / (Downside)	**+13.2%**
Market Cap	**$2.15T**
FY2026E Revenue	**$693M**
FY2027E Revenue	**$940M**
FY2026E EPS	**($2.10)**
FY2027E EPS	**($1.50)**
Fwd P/E	**N/M**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

SPCX — Procure Space ETF | October 12, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$175.00**	$168.00	**$155.00**
6 Months	**$195.00**	$178.00	**$148.00**
1 Year	**$220.00**	$185.00	**$140.00**
2 Years	**$260.00**	$210.00	**$130.00**
5 Years	**$350.00**	$275.00	**$120.00**
10 Years	**$500.00**	$380.00	**$100.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+4% this week) and Consumer Staples (+4.2%) — classic defensive rotation, meaning investors are getting cautious about growth and hiding in cash-flow heavy sectors. Energy specifically is benefiting from Middle East tension and the admin's drill-baby-drill posture.

COOLING OFF: Communication Services is flat-to-negative over 5 days — the mega-cap tech trade is losing some steam as investors rotate out of crowded names.

ROTATION WATCH: Money is flowing from high-multiple growth into defensive and cyclical value — that's a mild headwind for SPCX in the short-term because space is still viewed as "growthy." But if the NDAA catalyst hits, space gets reclassified as "defense" and attracts a different buyer base.

RELATED PLAY: If space keeps running, the ground infrastructure plays — satellite data processors, defense IT contractors, and specialized semiconductor names feeding the satellite supply chain — benefit as a second-order trade.

WHO'S WINNING IN THIS SPACE?

- ITA (iShares Aerospace & Defense): Pure defense budget beneficiary — less volatile than SPCX, directly tied to the NDAA passing.
- UFO (Procure Space ETF competitor): Different weighting but same thesis — watch the relative performance to see which basket construction wins.

SPCX CONTEXT: SPCX is lagging broader defense this month because it has more pure-play launch and satellite names that are higher-beta. If the NDAA passes clean, SPCX catches up violently — it tends to overshoot on good news because the underlying names are smaller and less liquid.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — The long-term space thesis is real and policy support is bipartisan, but near-term we're in a wait-and-see zone until the NDAA clears conference.

POSITION SIZE: 3-5% of portfolio — enough to matter if space breaks out, small enough that a 20% drawdown doesn't ruin your year.

ENTRY POINTS: I'd add in the $158-162 zone, which is where the ETF has been finding support. If it breaks below $155, step back and wait for a base to form.

TIME HORIZON: 12-24 months — the catalyst calendar is clear: NDAA passage (next 60 days), Q3 earnings from holdings (November), and 2027 budget appropriations (Q1).

WHEN TO BAIL: If NDAA space funding gets cut by more than 10% from House levels, OR if two top-5 holdings miss revenue guidance significantly in Q3 earnings. Also bail if we break $148 on heavy volume.

HEDGING: Simple approach — set a mental stop at $150 and trim half the position if it hits. More advanced: own this alongside a defensive sector like Staples so when risk-off hits, your portfolio doesn't swing wildly.

This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.